

lion, according to the Pharmaceutical Exports Promotion Council.

For some products, the dependence is deeper. Government data shows that Chinese imports accounted for 77% of India's Penicillin G imports in FY24. For 6-APA, a critical antibiotic intermediate, the figure was 94.1%.

WHY THE DEPENDENCE?

Over three decades, Indian pharmaceutical companies, operating in highly competitive markets, turned to lower-cost Chinese suppliers. As Chinese companies scale up and integrated chemical manufacturing ecosystems, supported by cheaper utilities, infrastructure and financing, importing APIs became more economical than making them domestically.

Covid-19 exposed the vulnerability of the model. Supply disruptions and export restrictions pushed API security higher on the policy agenda. "India's pharmaceutical industry is uniquely positioned to strengthen its global leadership by progressively reducing supply chain dependencies," Rajesh Agrawal, Commerce Secretary, said recently.

APIs, however, are one part of the picture. Every API begins much earlier with chemical intermediates, key starting materials and specialty chemicals. China's advantage extends across this entire chain. Large industrial clusters bring together multiple stages of production, creating efficiencies in logistics, scale and costs. In India, much of that ecosystem is fragmented, says Kallianpur. As a result, even when an API is made in India, a substantial portion of the upstream supply chain may originate abroad.

Industry executives say API production alone will not solve the problem. An Indian manufacturer receiving incentives to

CHINA'S SHARE

94.1%

6-APA

87%

ANTIBIOTIC
INGREDIENTS

77%

PENICILLIN G

43.45%

PHARMACEUTICAL
IMPORTS OVERALL

SOURCE ECONOMIC SURVEY 2025-26; DEPARTMENT OF PHARMACEUTICALS; PARLIAMENT REPLY (PHARMEXCIL); ORF ANALYSIS (NOVEMBER 2025)



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produce a critical antibiotic API may still rely on imported intermediates for raw material.

The challenge extends to the wider chemicals industry too. India is strong in areas such as agrochemicals, dyes and dye intermediates. Yet, it imported chemicals worth more than \$54 billion in FY25, according to industry estimates. The domestic chemicals market was around \$250 billion in 2024. The dependence is particularly high for pharmaceutical intermediates and key starting materials. Industry assessments indicate that critical products such as paracetamol, ibuprofen, clavulanic acid, penicillin G and amoxicillin continue to rely heavily on imported intermediates and raw materials, with dependence ranging from 50% to 80%.

A CHINA+1 OPPORTUNITY?

Global supply chains are being reassessed. The United States has taken steps to reduce dependence on Chinese pharmaceutical supplies through measures such as the BIOSECURE Act and a 2025 executive order calling for a Strategic Active Pharmaceutical Ingredients Reserve. Europe is pursuing similar objectives through the Critical Medicines Act.

India supplies 65-70% of WHO vaccine requirements and hosts one of the largest networks of US FDA-approved manufacturing facilities outside the US. The country is also home to 10 of the world's top 25 generic pharmaceutical companies, according to the government.

"When we say we are the pharmacy of the world, it's not rhetoric. In the US, 60% of the medicines